

fund, which invests in U.S. equities, was number one in its category out of about 1,300 funds, and our Select International fund was the single worst fund in its category out of about 400 funds. We were both the very best and the very worst following the exact same strategy in different markets, and I found that fascinating.

What is the implication of that?

The Value Select fund, which was the best-performing fund in its category, beat the market by only 5 percent, while the Select International fund, which was the worst performing fund in its category, underperformed the market by only 5 percent. It tells you that no one was really picking stocks. If we can be number one out of 1,300 by outperforming by only 5 percent, and the last place fund out of about 400 in another category by underperforming by only 5 percent, it means that almost everyone must be index hugging.

You run both large and small cap funds. Do you believe there is more opportunity in small cap stocks?

Although I don't believe the *small cap anomaly* exists within the Russell 3000, I do still think it is very important to look in the small-cap universe because lesser-followed companies are more likely to be misvalued.⁵ Those misvaluations can consist of both undervaluations and overvaluations, so there may not be any directional bias on average. But that does not take away from the fact that the small-cap sector may be a particularly fertile ground to look for undervalued stocks because it is less followed.

What is the story behind the Value Investors Club you started?

In 1999, we had one of the best ideas I had seen in a long time in our portfolio. We thought we were one of the few investment firms on the street to have uncovered this opportunity. One of my partners, John Petry, had found a posting on a Yahoo message board that had precisely analyzed the same situation that we thought we were such geniuses to have figured out. It was a complicated capital structure with lots of interesting parts. If you analyzed it correctly, you found it was a company that was trading at half its cash value with a good business attached to it. But it was very hidden. Yet here was someone on a Yahoo message board